Income statements

For the financial year ended 31 March 2024

		CONSOLIDATED		COMPANY	
		2024	2023	**2024**	2023
	Notes	**$m**	$m	**$m**	$m
Interest and similar income					
Effective interest rate method	2	**15,751**	9,751	**1,650**	1,217
Other	2	**741**	388	**267**	186
Interest and similar expense	2	**(13,033)**	(7,111)	**(1,883)**	(1,366)
Net interest income		**3,459**	3,028	**34**	37
Fee and commission income	2	**6,249**	6,400	**7**	13
Net trading income/(loss)	2	**5,448**	7,573	**(305)**	(223)
Share of net losses from associates and joint ventures	2	**(49)**	(113)	**–**	–
Net credit impairment reversals/(charges)	2	**134**	(388)	**4**	(15)
Net other impairment reversals/(charges)	2	**235**	(66)	**–**	–
Net other operating income	2	**1,411**	2,688	**2,089**	2,749
Net operating income		**16,887**	19,122	**1,829**	2,561
Employment expenses	2	**(7,723)**	(7,703)	**(4)**	(4)
Brokerage, commission and fee expenses	2	**(1,071)**	(1,028)	**–**	–
Non-salary technology expenses	2	**(1,163)**	(1,092)	**–**	–
Other operating expenses	2	**(2,104)**	(2,307)	**(2)**	(24)
Total operating expenses		**(12,061)**	(12,130)	**(6)**	(28)
Operating profit before income tax		**4,826**	6,992	**1,823**	2,533
Income tax (expense)/benefit	4	**(1,291)**	(1,824)	**76**	91
Profit after income tax		**3,535**	5,168	**1,899**	2,624
(Profit)/loss attributable to non-controlling interests		**(13)**	14	**–**	–
Profit attributable to the ordinary equity holders of Macquarie Group Limited		**3,522**	5,182	**1,899**	2,624
		Cents	Cents	**Cents**	Cents
Basic earnings per share	6	**916.6**	1,353.7	**–**	–
Diluted earnings per share	6	**911.4**	1,316.3	**–**	–

The above income statements should be read in conjunction with the accompanying notes.

Statements of comprehensive income

For the financial year ended 31 March 2024

		CONSOLIDATED		COMPANY	
		2024	2023	**2024**	2023
	Notes	**$m**	$m	**$m**	$m
Profit after income tax		**3,535**	5,168	**1,899**	2,624
Other comprehensive income/(loss):[1]					
Movements in items that may be subsequently reclassified to the income statement:					
Fair value through other comprehensive income (FVOCI) reserve:					
Revaluation movement	28	**(8)**	(15)	**1**	–
Changes in expected credit losses (ECL) allowance	28	**(24)**	29	**–**	–
Cash flow hedges reserves:					
Revaluation movement	28	**(41)**	14	**(14)**	(13)
Transferred to income statement on realisation	28	**42**	110	**14**	–
Cost of hedging reserves:					
Revaluation movement	28	**(55)**	(28)	**–**	–
Transferred to income statement on realisation	28	**13**	14	**–**	–
Share of other comprehensive income from associates and joint ventures	28	**22**	138	**–**	–
Foreign exchange movement on translation and hedge accounting of foreign operations		**447**	1,338	**–**	–
Movements in item that will not be subsequently reclassified to the income statement:					
Fair value changes attributable to own credit risk on debt designated at fair value through profit or loss (DFVTPL)	28	**(44)**	11	**(35)**	10
Others		**(2)**	12	**–**	–
Total other comprehensive income/(loss)		**350**	1,623	**(34)**	(3)
Total comprehensive income		**3,885**	6,791	**1,865**	2,621
Total comprehensive loss attributable to non-controlling interests		**(20)**	(4)	**–**	–
Total comprehensive income attributable to the ordinary equity holders of Macquarie Group Limited		**3,865**	6,787	**1,865**	2,621

The above statements of comprehensive income should be read in conjunction with the accompanying notes.

[1] All items are net of tax, where applicable.

Statements of financial position

As at 31 March 2024

		CONSOLIDATED		COMPANY	
		2024	2023	2024	2023
	Notes	$m	$m	$m	$m
Assets					
Cash and bank balances		31,855	45,656	–	–
Cash collateralised lending and reverse repurchase agreements		58,416	54,323	–	–
Trading assets	7	27,924	16,881	–	–
Margin money and settlement assets	8	24,117	25,256	–	–
Derivative assets	9	24,067	36,114	1	3
Financial investments	10	24,378	21,874	1,763	–
Held for sale assets		2,204	921	–	–
Other assets	11	12,638	10,438	22	30
Loan assets	12	176,371	158,572	–	–
Due from subsidiaries	30	–	–	49,712	48,817
Interests in associates and joint ventures	14	6,969	5,574	–	–
Property, plant and equipment and right-of-use assets	15	8,134	6,639	–	–
Intangible assets	16	4,254	3,827	–	–
Investments in subsidiaries	17	–	–	33,805	32,604
Deferred tax assets	18	2,077	1,797	41	3
Total assets		403,404	387,872	85,344	81,457
Liabilities					
Cash collateralised borrowing and repurchase agreements		12,599	18,737	–	–
Trading liabilities	19	5,044	4,810	–	–
Margin money and settlement liabilities	20	28,423	27,482	–	–
Derivative liabilities	21	25,585	32,790	5	5
Deposits	22	148,416	134,714	–	–
Held for sale liabilities		407	173	–	–
Other liabilities	23	14,472	12,512	169	241
Due to subsidiaries	30	–	–	7,257	5,686
Issued debt securities and other borrowings	24	119,878	109,461	43,135	39,055
Deferred tax liabilities	18	383	196	–	–
Total liabilities excluding loan capital		355,207	340,875	50,566	44,987
Loan capital	26	14,201	12,891	3,371	3,362
Total liabilities		369,408	353,766	53,937	48,349
Net assets		33,996	34,106	31,407	33,108
Equity					
Contributed equity	27	11,372	12,407	13,809	14,872
Reserves	28	3,891	3,302	1,744	1,559
Retained earnings	28	18,218	17,446	15,854	16,677
Total capital and reserves attributable to the ordinary equity holders of Macquarie Group Limited		33,481	33,155	31,407	33,108
Non-controlling interests	28	515	951	–	–
Total equity		33,996	34,106	31,407	33,108

The above statements of financial position should be read in conjunction with the accompanying notes.

Statements of changes in equity

For the financial year ended 31 March 2024

	Notes	Contributed equity $m	Reserves $m	Retained earnings $m	Total $m	Non-controlling interests $m	Total equity $m
							CONSOLIDATED
Balance as at 1 Apr 2022		12,298	1,523	14,740	28,561	245	28,806
Profit/(loss) after income tax		–	–	5,182	5,182	(14)	5,168
Other comprehensive income, net of tax		–	1,582	23	1,605	18	1,623
Total comprehensive income		–	1,582	5,205	6,787	4	6,791
Transactions with equity holders in their capacity as ordinary equity holders:							
Issue of shares	27	485	–	–	485	–	485
Dividends paid	5, 28	–	–	(2,495)	(2,495)	–	(2,495)
Purchase of shares by MEREP Trust	27	(923)	–	–	(923)	–	(923)
Movement in non-controlling interests		–	–	(4)	(4)	702	698
Other equity movements:							
MEREP share-based payment arrangements	27, 28	512	239	–	751	–	751
Deferred tax benefit/(expense) on MEREP share-based payment arrangements	27, 28	35	(42)	–	(7)	–	(7)
		109	197	(2,499)	(2,193)	702	(1,491)
Balance as at 31 Mar 2023		12,407	3,302	17,446	33,155	951	34,106
Profit after income tax		**–**	**–**	**3,522**	**3,522**	**13**	**3,535**
Other comprehensive income/(loss), net of tax		**–**	**389**	**(46)**	**343**	**7**	**350**
Total comprehensive income		**–**	**389**	**3,476**	**3,865**	**20**	**3,885**
Transactions with equity holders in their capacity as ordinary equity holders:							
Dividends paid	5, 28	**–**	**–**	**(2,716)**	**(2,716)**	**–**	**(2,716)**
Purchase of shares by MEREP Trust	27	**(1,028)**	**–**	**–**	**(1,028)**	**–**	**(1,028)**
On-market share buyback[1]	27	**(644)**	**–**	**–**	**(644)**	**–**	**(644)**
Movement in non-controlling interests		**–**	**–**	**4**	**4**	**(456)**	**(452)**
Other equity movements:							
MEREP share-based payment arrangements	27, 28	**607**	**184**	**8**	**799**	**–**	**799**
Deferred tax benefit on MEREP share-based payment arrangements	27, 28	**30**	**16**	**–**	**46**	**–**	**46**
		(1,035)	**200**	**(2,704)**	**(3,539)**	**(456)**	**(3,995)**
Balance as at 31 Mar 2024		**11,372**	**3,891**	**18,218**	**33,481**	**515**	**33,996**

[1] On 2 November 2023, the Macquarie Group Limited ("MGL") Board approved an on-market share buyback of up to $2 billion of MGL shares. During the financial year, 3,514,221 ordinary shares were bought back at an average price of $183.26 per share. The shares bought back were subsequently cancelled.

	Notes	Contributed equity $m	Reserves $m	Retained earnings $m	Total equity $m
					COMPANY
Balance as at 1 Apr 2022		14,781	1,332	16,521	32,634
Profit after income tax		–	–	2,624	2,624
Other comprehensive (loss)/ income, net of tax		–	(13)	10	(3)
Total comprehensive (loss)/income		–	(13)	2,634	2,621
Transactions with equity holders in their capacity as ordinary equity holders:					
Issue of shares	27	502	–	–	502
Dividends paid	5, 28	–	–	(2,478)	(2,478)
Purchase of shares by MEREP Trust	27	(923)	–	–	(923)
Other equity movements:					
MEREP share-based payment arrangements	27, 28	512	239	–	751
Deferred tax benefit on MEREP share-based payment arrangements	28	–	1	–	1
		91	240	(2,478)	(2,147)
Balance as at 31 Mar 2023		14,872	1,559	16,677	33,108
Profit after income tax		**–**	**–**	**1,899**	**1,899**
Other comprehensive income/(loss), net of tax		**–**	**1**	**(35)**	**(34)**
Total comprehensive (loss)/income		**–**	**1**	**1,864**	**1,865**
Transactions with equity holders in their capacity as ordinary equity holders:					
Dividends paid	5, 28	**–**	**–**	**(2,695)**	**(2,695)**
Purchase of shares by MEREP Trust	27	**(1,028)**	**–**	**–**	**(1,028)**
On-market share buyback, including transaction costs[2]	27	**(644)**	**–**	**–**	**(644)**
Other equity movements:					
MEREP share-based payment arrangements	27, 28	**607**	**184**	**8**	**799**
Deferred tax benefit on MEREP share-based payment arrangements	28	**2**	**–**	**–**	**2**
		(1,063)	**184**	**(2,687)**	**(3,566)**
Balance as at 31 Mar 2024		**13,809**	**1,744**	**15,854**	**31,407**

The above statements of changes in equity should be read in conjunction with the accompanying notes.

[2] On 2 November 2023, the Macquarie Group Limited ("MGL") Board approved an on-market share buyback of up to $2 billion of MGL shares. During the financial year, 3,514,221 ordinary shares were bought back at an average price of $183.26 per share. The shares bought back were subsequently cancelled.

Statements of cash flows

For the financial year ended 31 March 2024

		CONSOLIDATED		COMPANY	
		2024	2023	2024	2023
	Notes	$m	$m	$m	$m
Cash flows (utilised in)/generated from operating activities					
Interest income and expense:					
Received		**16,217**	9,807	**1,910**	1,403
Paid		**(12,601)**	(6,279)	**(1,804)**	(1,220)
Fees, commissions and other income and charges:					
Received		**6,060**	6,498	**24**	13
Paid		**(1,099)**	(1,091)	**-**	-
Operating lease income received		**908**	883	**-**	-
Dividends and distributions received		**218**	632	**2,079**	2,749
Operating expenses paid:					
Employment expenses		**(7,549)**	(6,532)	**(4)**	(4)
Other operating expenses including brokerage, commission and fee expenses		**(3,022)**	(3,267)	**(3)**	(6)
Income tax paid		**(1,633)**	(2,035)	**(356)**	(414)
Changes in operating assets:					
Loan assets and balances with subsidiaries		**(17,031)**	(21,856)	**2,244**	(3,517)
Trading and related assets, and collateralised lending balances (net of liabilities)		**(5,431)**	(5,939)	**-**	-
Assets under operating lease		**(960)**	(1,042)	**-**	-
Other assets (net of liabilities)		**(78)**	(32)	**15**	(7)
Liquid asset holdings		**1,845**	(2,021)	**(1,271)**	-
Changes in operating liabilities:					
Issued debt securities, borrowings and other funding		**6,586**	(12,138)	**3,217**	3,345
Deposits		**13,480**	33,032	**-**	(31)
Net cash flows (utilised in)/generated from operating activities	29	**(4,090)**	(11,380)	**6,051**	2,311
Cash flows (utilised in)/generated from investing activities					
Net payments for financial investments		**(83)**	(1,828)	**-**	-
Associates, joint ventures, subsidiaries and businesses:					
Proceeds from distribution or disposal, net of cash deconsolidated		**958**	4,105	**-**	1,000
Payments for additional contribution or acquisitions, net of cash acquired		**(2,797)**	(2,753)	**(1,200)**	(1,136)
Property, plant and equipment and right-of-use assets, investment property and intangible assets:					
Payments for acquisitions		**(1,957)**	(824)	**-**	-
Proceeds from disposals		**-**	70	**-**	-
Net cash flows utilised in investing activities		**(3,879)**	(1,230)	**(1,200)**	(136)
Cash flows (utilised in)/generated from financing activities					
Dividends and distributions paid		**(2,662)**	(2,010)	**(2,695)**	(1,991)
Payments for acquisition of treasury shares		**(1,084)**	(923)	**(1,028)**	(923)
Payments for on-market share buyback		**(644)**	-	**(644)**	-
Receipts from non-controlling interests		**153**	305	**-**	-
Proceeds from the issuance of loan capital		**1,246**	3,078	**-**	739
Net cash flows (utilised in)/generated from financing activities		**(2,991)**	450	**(4,367)**	(2,175)
Net (decrease)/increase in cash and cash equivalents		**(10,960)**	(12,160)	**484**	-
Cash and cash equivalents at the beginning of the financial year		**77,214**	84,323	**-**	-
Effect of exchange rate movements on cash and cash equivalents		**513**	5,051	**-**	-
Cash and cash equivalents at the end of the financial year	29	**66,767**	77,214	**484**	-

The above statements of cash flows should be read in conjunction with the accompanying notes.

Notes to the financial statements

For the financial year ended 31 March 2024

Note 1

Basis of preparation

This Financial Report is a General Purpose Financial Report which has been prepared in accordance with Australian Accounting Standards and the *Corporations Act 2001* (Cth). Macquarie Group Limited is a for-profit company for the purposes of preparing this Financial Report.

The principal accounting policies adopted in the preparation of this Financial Report are set out in Note 44 *Material accounting policies*. These policies have been consistently applied to all the financial years presented and are applicable to both the Consolidated Entity (Macquarie Group Limited and its subsidiaries) as well as the Company (Macquarie Group Limited), unless otherwise stated.

(i) Compliance with IFRS as issued by the IASB

Compliance with Australian Accounting Standards ensures that this Financial Report complies with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB). Consequently, this Financial Report is compliant with IFRS.

(ii) Basis of measurement

This Financial Report has been prepared on a going concern basis using the historical cost convention except for the following items, as disclosed in the respective accounting policy:

- financial instruments (including derivatives) required to be measured at fair value through profit or loss (FVTPL); financial assets classified as fair value through other comprehensive income (FVOCI) and financial instruments that have been designated as FVTPL (DFVTPL)
- financial assets and liabilities that are otherwise measured on an amortised cost basis but adjusted for changes in fair value attributable to the risk being hedged in qualifying fair value hedge relationships
- non-current assets and disposal groups that have been classified as held for sale and where a disposal group has been impaired to its fair value less costs to sell
- commodity inventories that are measured at fair value less costs to sell in accordance with the broker-trader exemption
- certain other non-financial assets and liabilities that are measured at fair value, such as investment property.

(iii) Critical accounting estimates and significant judgements

The preparation of this Financial Report in compliance with Australian Accounting Standards requires the use of certain critical accounting estimates. It also requires management to exercise judgement in the process of applying the accounting policies. The notes to the financial statements set out areas involving a higher degree of judgement or complexity, or areas where assumptions are significant to the consolidated Financial Report such as:

- determining the appropriate business model for a group of financial assets which includes determining the level at which the business model condition is applied and whether past or expected sales activity is consistent with a held to collect business model (Note 44(vii))
- assessing whether the cash flows generated by a financial asset constitute solely payments of principal and interest (SPPI) may require the application of judgement, particularly for certain subordinated or non-recourse positions, and in the determination of whether compensation for early termination of a contract is reasonable (Note 44(vii))
- choice of inputs, estimates and assumptions used in the measurement of Expected Credit Loss, including the determination of significant increase in credit risk (SICR), forecasts of economic conditions and the weightings assigned thereto (Note 44(xxii) and Note 13)
- timing and amount of impairment of interests in associates and joint ventures and investment in subsidiaries, including the reversal thereof (Note 44(i), Note 44(xxii), Note 14 and Note 17)
- timing and amount of impairment of goodwill and other identifiable intangible assets and, where applicable, the reversal thereof (Note 44(xxii) and Note 16)
- determining fair value of assets and liabilities where market-observable inputs are not available including the determination of non-recurring fair values and accounting for day 1 profits or losses for financial instruments (Note 44(vii), Note 44(x) and Note 38)
- distinguishing between whether assets or a business is acquired under a business combination, particularly the determination of whether a substantive process exists that, together with an integrated set of activities and assets, significantly contributes to the ability to create an output (Note 44(ii))
- determination of significant influence over associates, joint control over arrangements and control over subsidiaries, including the assessment of whether certain rights are protective or substantive in nature, whether these rights are held in the capacity as agent or principal, and whether the level of involvement in an investee's relevant activities is sufficient to significantly affect the returns generated (Note 44(i))
- recoverability of tax receivables, deferred tax assets and measurement of current and deferred tax liabilities can require significant judgement, particularly where the recoverability of such tax balances relies on the estimation of future taxable profits and management's determination of the likelihood that uncertain tax positions will be accepted by the relevant taxation authority (Note 44(vi), Note 4 and Note 18)
- recognition and measurement of certain revenue streams including performance fees from Macquarie-managed funds and other capital market investments and transactions (Note 44(iv))
- recognition and measurement of provisions related to actual and potential claims, and the determination of contingent liabilities (Note 44(iv), Note 44(xvii) and Note 33)
- application of hedge accounting principles, including the assessment that a forecast transaction is highly probable (Note 44(x) and Note 35)
- determination of the loss of control of a subsidiary, joint control over a joint arrangement or loss of significant influence over an associate including the timing of derecognition of assets and liabilities following the disposal of an investment and, the measurement of the associated gain or loss (Note 44(i)).

Note 1

Basis of preparation continued

(iii) Critical accounting estimates and significant judgements continued

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including reasonable expectations of future events.

Management believes that the estimates used in preparing this Financial Report are reasonable. Notwithstanding, it is possible that outcomes within the next financial year differ from management's assumptions and estimates, which may result in an adjustment to the carrying amounts of the reported assets and liabilities in future reporting periods.

(iv) New Australian Accounting Standards and amendments to Australian Accounting Standards and interpretations that are effective in the current financial year

(a) AASB 17 *Insurance Contracts* (AASB 17)

AASB 17 amends the accounting for insurance contracts and replaces AASB 4 *Insurance Contracts*, AASB 1023 *General Insurance Contracts* and AASB 1038 *Life Insurance Contracts*.

The adoption of AASB 17, mandatorily effective for the current annual reporting period did not have a material impact on this Financial Report.

(b) AASB 2023-2 *Amendments to Australian Accounting Standards - International Tax Reform - Pillar Two Model Rules* (AASB 2023-2)

The Pillar Two Model Rules are part of the Organisation for Economic Co-operation and Development's inclusive framework designed to address the tax challenges arising from the digitalisation of the economy. The Pillar Two Model Rules:

- aim to ensure that large multinational groups pay a minimum amount of tax on income arising in each jurisdiction in which they operate; and
- would achieve that aim by applying a system of top-up taxes that results in the total amount of taxes payable on Global Anti-Base Erosion Rules (GloBE) income in each jurisdiction representing at least the minimum rate of 15%.

The Consolidated Entity's Pillar Two Project

During 2022, the Consolidated Entity initiated a project to manage the impact of the Pillar Two rules globally. The project's scope is to ensure the Consolidated Entity and its subsidiaries can meet their Pillar Two compliance obligations.

As part of the project, the Consolidated Entity is monitoring the progress of the implementation of the model rules into domestic legislation and certain jurisdictions in which the Consolidated Entity has operations and have started to enact the rules generally with operational effect from the Consolidated Entity's 31 March 2025 financial year.

Impacts on financial reporting

In June 2023, the AASB issued AASB 2023-2 which makes amendments to AASB 112 *Income Taxes* with immediate effect. The standard provides a mandatory temporary exception to accounting for deferred taxes arising from the implementation of the Pillar Two Model Rules published by the Organisation for Economic Co-operation and Development. The Consolidated Entity has applied this exception in preparing its annual Financial Report.

The Consolidated Entity will ultimately be subject to Pillar Two legislation in various jurisdictions. Applicable Pillar Two legislation was not effective at the reporting date and as a result the Consolidated Entity has no related current tax exposure as at 31 March 2024.

Due to the complexities in applying the legislation and calculating GloBE income and covered taxes, the quantitative impact of the enacted or substantively enacted legislation has to date been estimated using historical data over a number of years. Based on this assessment it is not anticipated that there will be a material impact to current tax expense of the Consolidated Entity or the Company on implementation of the changes. The impact of the Pillar Two income taxes legislation on future financial performance will continue to be assessed.

(c) Other amendments made to existing standards

The amendments made to other existing standards that were mandatorily effective for the annual reporting period beginning on 1 April 2023 did not result in a material impact on this Financial Report.

(v) New Australian Accounting Standards and amendments to Australian Accounting Standards and Interpretations that are not yet effective for the financial year

(i) IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the International Accounting Standards Board issued *IFRS 18 Presentation and Disclosure in Financial Statements* (IFRS 18) which sets out requirements for the presentation and disclosure of information in general purpose financial statements. IFRS 18 is effective for annual reporting periods beginning on or after 1 January 2027. The transition provisions of IFRS 18 require retrospective application. The AASB is expected to issue the Australian equivalent of the standard in June 2024. The Consolidated Entity is continuing to assess the full impact of adopting IFRS 18.

(ii) Other amendments made to existing standards

Other amendments to existing standards that are not mandatorily effective for the annual reporting period beginning on 1 April 2023 and have not been early adopted, are not likely to result in a material impact to the Consolidated Entity's financial statements.

Note 1

Basis of preparation continued

(vi) Other developments

(a) ISSB sustainability reporting standards

During the year, the International Sustainability Standards Board (ISSB) published the following sustainability reporting standards:

- IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information* (IFRS S1), which sets out the overall requirements for sustainability-related financial disclosures, and
- IFRS S2 *Climate-related Disclosures* (IFRS S2), which will require the disclosure of information that enables the users of financial statements to understand the reporting entity's governance, strategy, risk management, and metrics and targets in relation to climate-related risks and opportunities.

In Australia, the proposed sustainability standards have been issued for exposure and comment while proposed legislation has been tabled in Parliament under the Treasury Laws Amendment (Financial Market Infrastructure and Other Measures) Bill 2024 (Cth). In the present form, these requirements would have the Consolidated Entity commence reporting for its financial year commencing on 1 April 2025. The Consolidated Entity acknowledges the growing importance of sustainability-related disclosures and continues to progress its established project to assess and prepare for future sustainability and climate-related reporting obligations.

(b) IBOR reform: Transition from interbank offered rates (IBOR) to alternative reference rates (ARRs)

IBOR interest rate benchmarks that are used in a wide variety of financial instruments (such as derivatives and lending arrangements) have undergone, or are undergoing, reform. The nature of such reforms varies by benchmark and jurisdiction.

IBOR including the GBP, JPY, EUR, CHF and USD London Interbank Offered Rate ('LIBOR'), as well as IBOR for certain other minor currencies, have ceased publication. The Consolidated Entity's IBOR reform project oversaw the transition of such exposures and the Consolidated Entity ceased the use of LIBOR in new products in accordance with industry and regulatory guidance.

The Consolidated Entity continues to have certain exposures referencing IBOR undergoing reform (including the Canadian Dollar Offer Rate (CDOR) and Mexican Interbank Equilibrium Interest Rate (TIIE)). Information regarding these exposures is disclosed in Note 36.3 *Market Risk*.

Notes to the financial statements

For the financial year ended 31 March 2024 continued

Note 2

Operating profit before income tax

	CONSOLIDATED		COMPANY	
	2024	2023	**2024**	2023
	$m	$m	**$m**	$m
Net interest income				
Interest and similar income:[1]				
Effective interest rate method - Amortised cost	**12,961**	8,349	**1,598**	1,217
Effective interest rate method - FVOCI	**2,790**	1,402	**52**	–
Other - FVTPL	**741**	388	**267**	186
Interest and similar expense:				
Effective interest rate method - Amortised cost	**(12,988)**	(7,075)	**(1,880)**	(1,366)
Other - FVTPL	**(45)**	(36)	**(3)**	–
Net interest income	**3,459**	3,028	**34**	37
Fee and commission income				
Base, portfolio administration and other asset management fees:				
Base fees	**2,895**	2,804	**–**	–
Portfolio administration fees	**298**	271	**–**	–
Other asset management fees	**200**	198	**–**	–
Mergers and acquisitions, advisory and underwriting fees	**743**	991	**–**	–
Brokerage and other trading-related fees	**791**	715	**–**	–
Performance fees	**632**	692	**–**	–
Other fee and commission income	**690**	729	**7**	13
Total fee and commission income	**6,249**	6,400	**7**	13
Net trading income[2]				
Commodities[3]	**4,099**	6,443	**–**	–
Credit, interest rate and foreign exchange products	**712**	666	**(305)**	(227)
Equities	**637**	464	**–**	4
Net trading income/(loss)	**5,448**	7,573	**(305)**	(223)
Share of net losses from associates and joint ventures	**(49)**	(113)	**–**	–

[1] Prior year comparatives for interest income have been re-presented between Effective Interest rate and Other to conform with the presentation in the current year in alignment with the accounting policy.
[2] Includes gains/losses for Trading Assets, Derivatives and Other Financial Assets and Financial Liabilities held at fair value including any ineffectiveness recorded on hedging transactions.
[3] Includes $859 million (2023: $684 million) of transportation, storage and certain other trading-related costs and $25 million (2023: $20 million) depreciation on right-of-use (ROU) assets held for trading-related business.

Note 2

Operating profit before income tax continued

	CONSOLIDATED		COMPANY	
	2024	2023	2024	2023
	$m	$m	$m	$m
Credit and other impairment reversals/(charges)				
Credit impairment (charges)/reversals				
Loan assets	**107**	(343)	**–**	–
Off balance sheet exposures	**11**	(72)	**–**	(4)
Financial investments and other assets[4]	**(27)**	(25)	**4**	(11)
Margin money and settlement assets	**16**	42	**–**	–
Loans to associates and joint ventures	**27**	5	**–**	–
Gross credit impairment reversals/(charges)	**134**	(393)	**4**	(15)
Recovery of amounts previously written off	**–**	5	**–**	–
Net credit impairment reversals/(charges)	**134**	(388)	**4**	(15)
Other impairment reversals/(charges)				
Interests in associates and joint ventures	**263**	(47)	**–**	–
Intangible and other non-financial assets	**(28)**	(19)	**–**	–
Net other impairment reversals/(charges)	**235**	(66)	**–**	–
Net other operating income				
Investment income				
Net gain/(loss) from:				
Interests in associates and joint ventures	**284**	1,806	**–**	–
Interests in businesses and subsidiaries[5]	**303**	407	**–**	–
Non-financial assets	**18**	8	**–**	–
Financial investments	**505**	(53)	**–**	–
Dividends from subsidiaries (Note 30)	**–**	–	**2,079**	2,749
Net investment income	**1,110**	2,168	**2,079**	2,749
Operating lease income				
Rental income	**1,023**	860	**–**	–
Depreciation	**(470)**	(395)	**–**	–
Net operating lease income	**553**	465	**–**	–
Subsidiaries and businesses held for investment purposes:[6]				
Net operating revenue[7]	**749**	421	**–**	–
Expenses[8]	**(1,131)**	(608)	**–**	–
Net loss from subsidiaries and businesses held for investment purposes	**(382)**	(187)	**–**	–
Other income	**130**	242	**10**	–
Total net other operating income	**1,411**	2,688	**2,089**	2,749
Net operating income	**16,887**	19,122	**1,829**	2,561

[4] Balance under Company represents ECL reversals/(charges) on amounts Due from subsidiaries.
[5] Includes any gain/(loss) recognised on deconsolidation of subsidiaries due to a loss of control. For certain investments where the Consolidated Entity exercises significant influence over its retained investment (including instances when the Consolidated Entity holds greater than 50% ownership interest), an investment in associate has been recognised.
[6] Subsidiaries and business held for investment purposes are consolidated entities that are held with the ultimate intention to sell as part of Macquarie's investment activities.
[7] Includes revenue of $1,064 million (2023: $628 million) before deduction of $315 million (2023: $207 million) related to cost of goods sold and other direct costs.
[8] Includes employment expenses, depreciation, amortisation expenses and other operating expenses.

Notes to the financial statements

For the financial year ended 31 March 2024 continued

Note 2

Operating profit before income tax continued

	CONSOLIDATED		COMPANY	
	2024 $m	2023 $m	2024 $m	2023 $m
Employment expenses				
Salary and related costs including commissions, superannuation and performance-related profit share	**(6,394)**	(6,456)	**(4)**	(4)
Share-based payments[9]	**(833)**	(762)	**-**	-
Provision for long service leave and annual leave	**(46)**	(60)	**-**	-
Total compensation expenses	**(7,273)**	(7,278)	**(4)**	(4)
Other employment expenses including on-costs, staff procurement and staff training	**(450)**	(425)	**-**	-
Total employment expenses	**(7,723)**	(7,703)	**(4)**	(4)
Brokerage, commission and fee expenses				
Brokerage and other trading-related fee expenses	**(770)**	(740)	**-**	-
Other fee and commission expenses	**(301)**	(288)	**-**	-
Total brokerage, commission and fee expenses	**(1,071)**	(1,028)	**-**	-
Non-salary technology expenses				
Information services	**(286)**	(256)	**-**	-
Depreciation on own use assets: equipment (Note 15)	**(28)**	(25)	**-**	-
Service provider and other non-salary technology expenses	**(849)**	(811)	**-**	-
Total non-salary technology expenses	**(1,163)**	(1,092)	**-**	-
Other operating expenses				
Occupancy expenses				
Lease expenses	**(173)**	(151)	**-**	-
Depreciation on own use assets: buildings, furniture, fittings and leasehold improvements (Note 15)	**(61)**	(57)	**-**	-
Other occupancy expenses	**(160)**	(164)	**-**	-
Total occupancy expenses	**(394)**	(372)	**-**	-
Other expenses				
Professional fees	**(468)**	(537)	**-**	-
Advertising and promotional expenses	**(177)**	(196)	**-**	-
Travel and entertainment expenses	**(168)**	(171)	**-**	-
Amortisation of intangible assets	**(164)**	(181)	**-**	-
Indirect and other taxes	**(186)**	(155)	**-**	-
Fees for audit and other services	**(70)**	(83)	**-**	-
Other	**(477)**	(612)	**(2)**	(24)
Total other expenses	**(1,710)**	(1,935)	**(2)**	(24)
Total other operating expenses	**(2,104)**	(2,307)	**(2)**	(24)
Total operating expenses	**(12,061)**	(12,130)	**(6)**	(28)
Operating profit before income tax	**4,826**	6,992	**1,823**	2,533

[9] Includes share-based payment related expenses of $34 million (2023: $11 million) for cash settled awards.